

Fireside Chat with Ambassador Jamieson Greer

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Jamieson Greer, 20th U.S. Trade Representative

Moderator: Anja Manuel

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Official event page: aspensecurityforum.org/fireside-chat-with-ambassador-jamieson-greer

Why We Need Tariffs (00:03:25)

Unidentified | 00:00:00

They're extremely creative and resilient when it comes to this.

Unidentified | 00:00:06

But we have to like, you know, I think one of the reasons that they're winning, if you will, is because we've removed impediments for them, what they can and can't do.

mark esper | 00:00:18

So interesting, they're defending using traditional high-cost Patriot systems that are very sophisticated and do a great job, but they're winning by employing large volumes of low-cost, relatively sophisticated autonomous.

Unidentified | 00:00:32

Absolutely, but they need both.

Unidentified | 00:00:34

I agree.

Unidentified | 00:00:35

That's my talking point.

Unidentified | 00:00:37

And one of the things that we saw was you really can't keep their economy afloat unless there's air defense, both the swarming drone defense as well as Patriot missile defense.

Unidentified | 00:00:50

And so we need to make sure they get...

Unidentified | 00:00:51

They're getting significant infusions now thanks to the fact that Victor Orban can no longer hold European Union aid.

Unidentified | 00:00:59

So on that positive note, I'm running out of time.

Unidentified | 00:01:02

Please join me in thanking for a fabulous opening panel here.

Unidentified | 00:01:07

U.S. Trade Representative Jamison Greer highlighted trade with Mexico, Canada, and China during the Aspen Security Forum in Colorado.

Unidentified | 00:01:15

He also spoke about the Trump administration's tariff and manufacturing policies.

Unidentified | 00:01:19

It's about 45 minutes.

Unidentified | 00:01:23

Well, Ambassador Greer, we're so grateful to have you with us today.

Unidentified | 00:01:27

You have flown around the world.

Unidentified | 00:01:29

I think when we were talking before, you said you've been Uzbekistan, India.

Unidentified | 00:01:34

Where else have you been in the last couple weeks?

Unidentified | 00:01:37

Well, I spend time over at, well, Evian, France, of course, places like that.

Unidentified | 00:01:42

I've been to Mexico, but I also travel a lot domestically because I want to see how the trade policy is working out for American workers and manufacturers and farmers, because that's really why we're doing what we're doing.

Unidentified | 00:01:55

Thank you.

Unidentified | 00:01:56

Let me start you with, you grew up in Paradise, California, now famous for the sad reason of the fire.

Unidentified | 00:02:02

I grew up in a very small blue-collar town in Germany where the factory went out of business and it just decimated the community.

Unidentified | 00:02:09

We were talking a little bit about that.

Unidentified | 00:02:11

Say how that impacted how you view trade policy today and what you're doing.

Unidentified | 00:02:16

Sure.

Unidentified | 00:02:16

Yeah, so Paradise is a small town in Northern California, 30,000 people about at its peak.

Unidentified | 00:02:21

It's about 10,000 now.

Unidentified | 00:02:23

When I grew up there, there really wasn't much industry at all.

Unidentified | 00:02:26

In fact, my dad, when we moved there, I was two when we moved there, and he went up there for a job in a plastic injection molding facility, and that went away, right?

Unidentified | 00:02:37

That went away, and he had to do other things.

Unidentified | 00:02:40

And earlier than that, Paradise had been a gold rush town, right?

Unidentified | 00:02:44

And so that had happened for a few years, and that went away.

Unidentified | 00:02:46

So there was this undercurrent in the town of just not a lot of opportunity.

Unidentified | 00:02:52

And I think that's a similar experience that folks have had.

Unidentified | 00:02:56

Obviously, we think of Appalachia, the so-called Rust Belt, but in the Southeast, even in the Northeast with textiles and things like that.

Unidentified | 00:03:02

So it's, unfortunately, it's a common experience that a lot of Americans have had in different generations.

Unidentified | 00:03:08

Thank you.

Unidentified | 00:03:08

So that brings us kind of, I wanted to start with you with, you've outlined these goals for U.S. trade policy.

Unidentified | 00:03:15

You had a great op-ed in the FT in the Financial Times.

Unidentified | 00:03:19

A lot of their journalists are with us today in December where you said three metrics to evaluate U.S. trade policy.

Beyond Trade and Taxes (00:04:25)

Unidentified | 00:03:25

Reducing the deficit, raising wages for American workers, and increasing manufacturing's share of the U.S. economy.

Unidentified | 00:03:34

Let me just pause and go into two of those specifically.

Unidentified | 00:03:38

Raising wages.

Unidentified | 00:03:39

We just talked about how some of these communities have been decimated.

Unidentified | 00:03:42

It's a very laudable goal.

Unidentified | 00:03:44

Can you say a little bit how specifically trade policy can contribute to this?

Unidentified | 00:03:50

And is that the best tool to achieve higher wages?

Unidentified | 00:03:54

So one of the challenges we face when we're dealing with imports from other countries, and we talk about China, of course, but we've spent a lot of time over the past decade controlling imports from China, particularly low-priced or dumped goods.

Unidentified | 00:04:07

But we still get a lot of it from other corners of the world as well.

Unidentified | 00:04:11

And so part of it is making sure that people are selling into the U.S. market at a market price.

Unidentified | 00:04:17

Because our workers, they can't be expected to compete with countries where there are industrial subsidies, export-driven subsidies, or with other economies where they don't have the types of labor and environmental standards that we do.

Unidentified | 00:04:30

I'm a conservative Republican.

Unidentified | 00:04:32

I don't believe in over-regulation, but surely we're always going to have some common accepted level of regulation on environment and labor.

Unidentified | 00:04:41

But even these other countries don't have that.

Unidentified | 00:04:42

And so it's impossible to compete, and it's impossible to pay a high wage because of some of these other arbitrages that are going on in these other countries.

Unidentified | 00:04:50

So if you can adjust trade policy to correct for that, right, and in the dumping world, we have anti-dumping duties that can do that, but we have systemic unfair trading practices in other countries or industrial policies that really are forced upon us.

Unidentified | 00:05:03

And so if we don't do something, we end up just kind of eating other, we become a policymaker instead of a policy taker, instead of a policymaker, and it can affect wages, right?

Unidentified | 00:05:12

So if you can try to create actual market functioning, and sometimes you have to do some interventions to do that, then you can actually pay an appropriate wage for people to make things in America.

Unidentified | 00:05:22

Let me just follow up on that, because of course there are lots of other factors that contribute to wages rising, whether it's a tight labor market, you could have a minimum wage, you could have more workers with bargaining power, you could invest in their productivity.

Unidentified | 00:05:36

And when you look at the statistics, so I think the last year of Biden, real wages were up about 1% in his final year, then about another 1.2% in President Trump's first year.

Unidentified | 00:05:48

But the inflation, partly through the Iran war, has erased all of those gains.

Unidentified | 00:05:53

So how do you, as the U.S. trade representative, deal with all of those other factors?

Unidentified | 00:06:00

Well, first of all, you asked me before your first question.

Unidentified | 00:06:06

Is a tariff or trade policy the best way to do it?

Unidentified | 00:06:08

It's just one of the tools.

Unidentified | 00:06:10

Some of the other things we have to do is we have to have good energy policy.

Unidentified | 00:06:13

We have some of the most abundant natural resources in the United States of America.

Unidentified | 00:06:17

We should be using these and exploiting these to have competitive energy pricing to fuel our manufacturing.

Unidentified | 00:06:23

We need to have competitive tax policy.

Unidentified | 00:06:25

One of the things we did last year in the Big Beautiful Bill was to provide expensing for RD and for capital goods and that kind of thing.

Unidentified | 00:06:33

So there are things outside of trade that affect it.

Unidentified | 00:06:36

We have to do it all and we are doing all of it.

Unidentified | 00:06:39

The Iran war piece, I mean, the inflation numbers were going the right direction.

Unidentified | 00:06:43

The Iran war piece, it's energy driven.

Unidentified | 00:06:46

If you look at CPI outside of that, it's going down.

Unidentified | 00:06:49

We had a great imprint yesterday on CPI, despite the operations in Iran.

Unidentified | 00:06:54

So it's all going the right direction.

Unidentified | 00:06:57

And what would you say, how do you handle when other countries retaliate?

Unidentified | 00:07:01

So I was with a group of soybean farmers just a month or two ago, great Americans, most of them quite conservative, actually big supporter of the President's tariffs, but they talked a lot about how much retaliation there's been.

Unidentified | 00:07:14

And it's been very difficult for especially soybeans, but also some other of our agricultural products.

Unidentified | 00:07:20

How do you handle that?

Unidentified | 00:07:21

Well, it's important to put that in context.

Unidentified | 00:07:23

So the President has put tariffs on the world.

Unidentified | 00:07:26

He's had a very robust trade policy.

Unidentified | 00:07:28

But only two countries have retaliated against the United States.

Unidentified | 00:07:33

China, which is a big one, of course, and then Canada to the north in a relatively small way.

Unidentified | 00:07:39

And even the Chinese retaliation, which they tend to target our soybean farmers and some of our other farmers because they've become too dependent on China for that kind of thing.

Unidentified | 00:07:48

Kentucky Bourbon.

Unidentified | 00:07:50

Yeah.

Managing Global Retaliation (00:15:36)

Unidentified | 00:07:51

But what we've done actually in a lot of our negotiations with the Chinese over the past year, the answer is not throw up your hands and say, well, I guess they got us.

Unidentified | 00:07:59

I guess we just have to import all the manufactured goods from China so we can keep selling these soybeans.

Unidentified | 00:08:03

The answer is we're going to have a tariff on you, China.

Unidentified | 00:08:05

We're going to control these imports within reason, but we also need to have you buy the things that we want to sell you.

Unidentified | 00:08:11

And that's why part of the agreement we've made with the Chinese over the past year is, you know, fine, we're going to fight about a lot of things, but you are going to buy 25 million metric tons of soybeans every year.

Unidentified | 00:08:21

And they're in the market right now buying.

Unidentified | 00:08:22

I mean, last week they bought half a million tons, and it's at a time when soybeans in America are a higher price than the soybeans from Brazil.

Unidentified | 00:08:32

So they understand the assignment, and they're carrying at least that part of it out.

Unidentified | 00:08:36

So right now they're living up to their commitment.

Unidentified | 00:08:37

To that element of it, yes.

Unidentified | 00:08:38

Okay, to that element of it.

Unidentified | 00:08:39

We will get to China.

Unidentified | 00:08:40

That's how a lawyer speaks.

Unidentified | 00:08:41

Yes.

Unidentified | 00:08:42

We will get to China in a minute.

Unidentified | 00:08:43

Let me now focus on manufacturing since you highlighted it.

Unidentified | 00:08:47

You specifically said that increasing manufacturing share of the U.S. economy is the goal of trade policy.

Unidentified | 00:08:54

Why is it that versus the goal of more manufacturing jobs?

Unidentified | 00:08:57

Well, first of all, just to put the number in context, manufacturing right now today makes up about 9.5% of U.S. GDP.

Unidentified | 00:09:06

If you look at the average number for an OECD developed nation, it's about 15 or 16 percent.

Unidentified | 00:09:11

So we're far below that.

Unidentified | 00:09:13

Now, why are we looking at that instead of just looking at jobs numbers?

Unidentified | 00:09:16

As you expand the manufacturing share of GDP, it will be natural that manufacturing jobs will increase, I think.

Unidentified | 00:09:23

And we've seen over last year the declines in manufacturing jobs.

Unidentified | 00:09:30

Well, it started, there was a peak in COVID coming back, and then it went down under Biden significantly.

Unidentified | 00:09:36

It stabilized last year.

Unidentified | 00:09:38

In the beginning of this year, we had the jobs go up.

Unidentified | 00:09:40

But more importantly, as we do more manufacturing, and what I'm seeing in the field, there's very high productivity.

Unidentified | 00:09:47

And so we might have manufacturing make up a big share of the economy, but it's not necessarily going to translate into the same types of manufacturing jobs numbers we thought.

Unidentified | 00:09:56

There will be some of that, but it's not going to be one-for-one like we may have seen in previous years.

Unidentified | 00:10:00

So you're talking about robotics, advanced manufacturing.

Unidentified | 00:10:02

Maybe those factories don't have a lot of workers in them, but they help us secure our position in vis-a-vis China.

Unidentified | 00:10:10

Yes, I mean, if you look at our manufacturing productivity numbers over the six months, they are sky-high.

Unidentified | 00:10:15

It's the highest they've been in years.

Unidentified | 00:10:17

Some of this is AI, right?

Unidentified | 00:10:19

There's a lot of controversy about AI right now and that kind of thing.

Unidentified | 00:10:24

But if you go into the factories, and I've been doing this, you can see the factories using AI to make their workers more productive.

Unidentified | 00:10:30

And they're hiring more workers too.

Unidentified | 00:10:31

So it's not like they're replacing blue-collar workers.

Unidentified | 00:10:34

They're actually becoming more effective.

Unidentified | 00:10:37

And we're kind of moving some of our workforce back from software to hardware, where for a long time we were moving hardware to software.

Unidentified | 00:10:43

That's a good point.

Unidentified | 00:10:45

We talk about manufacturing.

Unidentified | 00:10:47

So now say a little bit how services fit into your strategy.

Unidentified | 00:10:50

80% of Americans work in services.

Unidentified | 00:10:53

Depending on which economist you believe, those wages have now are up for the same.

Unidentified | 00:10:59

Someone with similar education experience, services wages are actually maybe a little bit higher than manufacturing jobs.

Unidentified | 00:11:06

Tell us we're a powerhouse.

Unidentified | 00:11:09

We export more services than we import.

Unidentified | 00:11:11

How does that fit into your strategy?

Unidentified | 00:11:13

So services are obviously the vast majority of jobs in the country are services.

Unidentified | 00:11:18

We're very competitive in this.

Unidentified | 00:11:20

And because we're very competitive in this, I don't need to worry about it as much as I have to with manufacturing.

Unidentified | 00:11:25

That being said, it is quite important.

Unidentified | 00:11:26

And so a lot of my focus in trade on services is as I'm going to other countries and they're trying to have some kind of a deal with us to mitigate the effects of our trade policy.

Unidentified | 00:11:36

I am asking them to treat us better on services.

Unidentified | 00:11:39

I am asking them to give us national treatment to give us most favored nation treatment on services.

Unidentified | 00:11:42

So that is something that's important to us.

Unidentified | 00:11:45

But you look at someone like the European Union.

Unidentified | 00:11:48

I know I have a lot of friends and colleagues here from Europe.

Unidentified | 00:11:52

We have a very competitive business model for operating in the world in technology and digital services.

Unidentified | 00:12:00

And we have other countries, particularly in Europe and elsewhere, who are trying to curtail that, change business models, assess fines and fees.

Unidentified | 00:12:07

So this is a problem.

Unidentified | 00:12:08

So we are focused on services, but the nature of the challenge is just different than the one with manufacturing.

Unidentified | 00:12:14

With manufacturing, it is this existential thing where we have lost an edge and we need to regain it.

Unidentified | 00:12:18

With services, we have an edge, we need to maintain it.

Unidentified | 00:12:21

Silicon Valley, thanks you.

Unidentified | 00:12:23

The Trump administration has been very engaged.

Unidentified | 00:12:25

Thanks.

Unidentified | 00:12:27

All right.

Unidentified | 00:12:28

Perfect segue into China.

Unidentified | 00:12:30

Lots going on.

Unidentified | 00:12:31

You and Secretary Besson are basically leading the economic policy and the negotiations with the Chinese.

Unidentified | 00:12:38

As we all know in this room and you're dealing with every day, they use every tool of economic coercion.

Unidentified | 00:12:44

Enormous subsidies, IP theft.

Unidentified | 00:12:47

On one of the previous panels, we were talking about how much distillation there is, the euphemism distillation stealing of our AI models.

Unidentified | 00:12:56

You were just in China with President Trump.

Unidentified | 00:12:59

How are you responding to their unfair practices?

Unidentified | 00:13:03

We're taking enforcement action.

Unidentified | 00:13:06

I think for a long time in this country, as we have struggled to manage our trade relations with China, we've tried a lot of different things.

Unidentified | 00:13:16

We've had situations where we tried to bring them into the WTO and have them follow these rules.

Unidentified | 00:13:23

We've had interminable dialogues with the Chinese to try to come to a greater understanding.

Unidentified | 00:13:28

I'm just going to go back to the strategic and economic dialogue.

Unidentified | 00:13:31

Or the strategic economic dialogue, or the strategic and economic dialogue.

Unidentified | 00:13:35

There were a lot of those.

Unidentified | 00:13:36

Yeah, we're not doing that.

Unidentified | 00:13:38

And we have situations where we said you need to change your practices, or in Trump 1, the idea was, well, we're going to have this phase one deal and you're going to buy some things and you're going to change some of your practices here and there and that kind of thing.

Unidentified | 00:13:51

Which again, I think was effective for the time.

Unidentified | 00:13:54

But I'm personally at the point where when you're going to ask the Chinese to change these economic structures, what you're actually doing them, what you're actually doing is asking them to change their political structure.

Unidentified | 00:14:06

That's what you're asking them to do.

Unidentified | 00:14:09

Exactly.

Unidentified | 00:14:09

So I don't really think they're going to raise their hand and put their hand on the little red book and swear not to be communist anymore or have a command economy.

Unidentified | 00:14:17

So what I'm saying is fine.

Unidentified | 00:14:19

You buy the stuff from us that we want to sell you and we'll buy some stuff from you.

Unidentified | 00:14:22

And then we're going to have tariffs and we're going to fight on high-tech.

Unidentified | 00:14:25

I mean, that's really where we are.

Unidentified | 00:14:26

I think you just have to manage it.

Unidentified | 00:14:27

We have to do what's good for America.

Unidentified | 00:14:29

We have to have some level of tariffs.

Unidentified | 00:14:30

And it's been successful in diversifying away from China.

Unidentified | 00:14:34

The last time we imported this little directly from China was 2004.

Unidentified | 00:14:39

But you're also fighting them on industrial excess capacity.

Unidentified | 00:14:43

There's a Section 301 investigation happening right now.

Unidentified | 00:14:45

I mean, it involves other countries, but Soto Voce, it's really about China and others.

Unidentified | 00:14:50

Can you just say a little bit more about that, how it's going, what you hope to achieve with that timeline?

Unidentified | 00:14:56

Yes.

Unidentified | 00:14:57

I mean, so as you were mentioning, USTR is conducting a Section 301 investigation of structural excess capacity.

Unidentified | 00:15:04

And a lot of this, this is a global issue.

Unidentified | 00:15:06

It's not just China, but a lot of it originates with China.

Unidentified | 00:15:10

And this is the idea that they just are building so much capacity that is not justified by global demand or normal market mechanisms, and it leaves no room for America to build factories or employ workers.

Unidentified | 00:15:21

And it's kind of simply put, that's what it is.

Unidentified | 00:15:24

And it spills over into third countries.

Unidentified | 00:15:25

We have third countries that do nothing.

Unidentified | 00:15:27

Their goods get displaced into our market.

Unidentified | 00:15:29

And then you also have third countries who have similar practices.

Unidentified | 00:15:32

So we're conducting this investigation.

Unidentified | 00:15:34

We've had hearings, we've had public comments, et cetera, and we're going to take action if we need to.

Unidentified | 00:15:40

It's an ongoing investigation.

Unidentified | 00:15:41

So, I'm like, my general counsel is like a little angel on my shoulder here telling me don't get ahead of the investigation.

Unidentified | 00:15:47

But this is with us earlier this week, and she's wonderful.

Unidentified | 00:15:50

She was.

Unidentified | 00:15:51

No, she was.

Unidentified | 00:15:51

She's doing a great job, and they're working incredibly hard.

Unidentified | 00:15:54

So, we're just going to take action to control our borders, right?

Unidentified | 00:15:58

I mean, for a long time, we had open borders to foreign labor, foreign goods, foreign services, and foreign capital, really without the kind of restrictions that other countries do.

Unidentified | 00:16:06

And I know there's a reason for that.

Unidentified | 00:16:07

There's a lot of competitiveness that comes from that and growth that can come from that.

Unidentified | 00:16:10

But you have to have some rational limits to this, especially when it comes to China.

Unidentified | 00:16:14

And that's what we're trying to do with addressing structural excess capacity.

Unidentified | 00:16:18

Say a little more about the board of trade that was announced between the U.S. and China.

Unidentified | 00:16:24

How is that different from the strategic and economic dialogue?

Unidentified | 00:16:27

Yeah, well, here's why, because we're not just going to get together and pretend that we're solving each other's problems, right?

Unidentified | 00:16:32

That's like we're not doing that.

Unidentified | 00:16:33

We're not doing fake dialogues anymore.

Unidentified | 00:16:36

And also, the U.S.-China Board of Trade, I've had some CEOs come up to me and say, Hey, I want to sit on the board of trade.

Unidentified | 00:16:42

I say, No, you're not on the Board of Trade.

Unidentified | 00:16:44

I'm the Board of Trade for the U.S., me and Scott Besson.

Unidentified | 00:16:48

The idea with that is actually quite pragmatic.

Unidentified | 00:16:51

And there are goods that we should and can trade with each other that are non-sensitive.

Unidentified | 00:16:56

It's almost like a whitelist.

Unidentified | 00:16:58

Yeah, I would guess so.

Unidentified | 00:16:59

And everyone says, Well, what's sensitive?

Unidentified | 00:17:00

What isn't?

Unidentified | 00:17:01

We'll figure it out, right?

Unidentified | 00:17:03

I mean, what we know is there are things that are certainly non-sensitive, right?

Unidentified | 00:17:07

We have ag goods we want to sell, we have aerospace that we've sold to them for a long time, we have medical devices, we have farm, we have all kinds of things we can and should sell to them that everyone can agree are nonsensitive.

Unidentified | 00:17:18

There are things we can get from them, you know, consumer goods, low-tech, things like that.

Unidentified | 00:17:21

There are things we can get from them that I'm not, I don't worry that they challenge our industrial base.

Unidentified | 00:17:26

You said aerospace is non-sensitive?

Unidentified | 00:17:28

That we sell to them, civil, I mean, Boeings, right?

Unidentified | 00:17:31

That's when I say Boeings, I say aerospace.

Unidentified | 00:17:34

Impartial.

Unidentified | 00:17:35

Yeah, right?

Unidentified | 00:17:37

Okay.

Unidentified | 00:17:38

Thank you.

Unidentified | 00:17:40

Let's go.

Unidentified | 00:17:41

We were talking in advance about how you are really connecting economic security and national security.

Unidentified | 00:17:47

That'll be a lot of interest to the people in this room.

Unidentified | 00:17:50

And you're doing something really innovative in these agreements on reciprocal trade.

Unidentified | 00:17:55

You have really started trying to align export controls, establishing investing screening mechanisms, strengthening cooperation on supply chains, critical minerals, et cetera.

Unidentified | 00:18:06

Say a little bit more about which countries specifically you want to target to do that with, how it's going.

Unidentified | 00:18:14

Are people open to that?

Unidentified | 00:18:16

And is that going to eventually become plurilateral?

Unidentified | 00:18:18

What's the plan?

Unidentified | 00:18:20

So, one thing that we all should have learned in the past 10 years is that this kind of saying that has almost become tried now is economic security is national security.

Unidentified | 00:18:32

Everyone agrees with this now, which is really important.

Unidentified | 00:18:35

And this means that there are certain products and items and sectors that are just too important to leave to the market alone and to let the market offshore everything to the highest bidder, China or Vietnam or someplace like this.

Unidentified | 00:18:50

And our sense is that if you want to have a trading relationship with the United States, if you want to retain your market access you've had for a long time or some element of it, not only are you going to open your market to us in a trade deal that we develop, but you're also going to agree that the kind of trade you're doing with us is going to enhance U.S. national security.

Unidentified | 00:19:10

And for us, what does that mean?

Unidentified | 00:19:12

And ideally, their own.

Unidentified | 00:19:13

And their own.

Unidentified | 00:19:14

Well, exactly, right?

Unidentified | 00:19:15

It's good for them too.

Unidentified | 00:19:16

And so, what that means is we don't want a situation where I do a trade deal with X country, and then they say, okay, great, and they invite in a bunch of investment from a third country that has a bunch of structural excess capacity or something or wishes us harm, and then they just use that country as an export hub for the United States.

Unidentified | 00:19:34

That I can't have.

Unidentified | 00:19:35

And so they need to be doing investment screening to make sure that the kind of investment and manufacturing they're doing is the kind of thing that is in our common interest.

Unidentified | 00:19:43

Similarly with export controls, if they think that we're going to ship them some of our highest tech goods or that kind of thing, they need to be committed to the type of export controls that we have.

Unidentified | 00:19:52

These are, I think once you say it out loud, it makes sense.

Unidentified | 00:19:56

For a long time, we didn't put that into trade agreements.

Unidentified | 00:19:58

I think there were a lot of reasons not to do that, but we're at a point in our history where geopolitics, they are, you know, they are.

Unidentified | 00:20:04

They're interested in us, even if we're not interested in them when it comes to trade.

Unidentified | 00:20:07

And so when we set about developing a compact trade agreement over the past year and a half, we decided we would have economic security.

Unidentified | 00:20:14

And there's other things too, right?

Unidentified | 00:20:16

Government procurement, we want to make sure that we have a line into government procurement and that government procurement isn't open up to companies or countries that may cause problems for critical infrastructure.

Unidentified | 00:20:26

If we take border measures, other countries should probably be prepared to take border measures too if they want to benefit from our market.

Unidentified | 00:20:33

Got it.

Unidentified | 00:20:33

So a specific example would be, for example, we have the Emiratis with us.

Unidentified | 00:20:37

So it would be, we will sell you chips only if you have the same export control on the chips that we do, vis-a-vis China.

Unidentified | 00:20:44

Is that an example?

Unidentified | 00:20:45

I mean, yes, and this is essentially what we did with the Saudis.

Unidentified | 00:20:47

Back in November, we had a visit of the Saudi leadership, and part of that was working out AI chips.

Unidentified | 00:20:54

And we all work together in an interagency way to say, if you're going to do this, if you want to play in this space with our tech stack, we want you to do that.

Unidentified | 00:21:02

We want to be your preferred partner on this.

Unidentified | 00:21:04

But we want to make sure that U.S. companies are involved.

Unidentified | 00:21:07

We want to make sure that your controls are appropriate and that we can monitor this and enforce it.

Unidentified | 00:21:14

And let me ask you one.

Unidentified | 00:21:17

Who have you negotiated this with already?

Unidentified | 00:21:21

And then who do you want in the club?

Unidentified | 00:21:23

Is this an everyone, every trade agreement the U.S. will do?

Unidentified | 00:21:26

Is it only our Western friends and allies plus Japan, Korea?

Unidentified | 00:21:31

Well, we ask everyone to do it.

Unidentified | 00:21:33

So right now, if you look at what we've done, we have nine completed what we call agreements on reciprocal trade.

Unidentified | 00:21:39

And these are substantive documents.

Unidentified | 00:21:40

They're hundreds of pages long.

Unidentified | 00:21:42

They have annexes.

Unidentified | 00:21:43

They have real commitments, et cetera.

Unidentified | 00:21:45

And in all of these, we've asked countries to make these commitments.

Unidentified | 00:21:48

So if you look at deals we've made in Southeast Asia with Malaysia and Indonesia, they've made these kinds of commitments.

Unidentified | 00:21:54

When you look to our hemisphere, Argentina, Ecuador, they've made these kinds of commitments.

Unidentified | 00:21:58

Now, when we talk about Japan and Europe.

Unidentified | 00:22:01

It's easier maybe for Argentina and Ecuador than some of our tech near peers.

Unidentified | 00:22:06

It is.

Unidentified | 00:22:06

And let me be clear.

Unidentified | 00:22:08

We're not really going to other countries and saying, hey, it's us or China.

Unidentified | 00:22:12

Take your pick, right?

Unidentified | 00:22:13

I mean, that's not what we're doing.

Unidentified | 00:22:14

Now, the Chinese are doing that, right?

Unidentified | 00:22:16

They've put out these new supply chain rules where they essentially are saying you have to pick the U.S. or China.

Unidentified | 00:22:21

We are not doing that.

Unidentified | 00:22:22

That's not what we've wanted to do.

Unidentified | 00:22:24

I mean, if we have to do that, because the Chinese are pushing us to it, we can.

Unidentified | 00:22:29

So that's really not what this is about.

Unidentified | 00:22:31

And if you go and you look at these agreements and the economic security provisions, we don't say China.

Unidentified | 00:22:36

I mean, the reality is there are lots of countries in the world where we would have an issue.

Unidentified | 00:22:40

China obviously comes to mind because they're one of the most significant and we have strong concerns.

Unidentified | 00:22:44

And we just want to make sure that whoever's doing business with us, whether they're in Southeast Asia or the Western Hemisphere of Europe, that we are aligned on this kind of thing.

Unidentified | 00:22:52

Now, it's harder, and I'll be really clear, right, with Japan and Korea and the EU, they have hesitated on this, surprisingly.

Unidentified | 00:22:58

I know.

Unidentified | 00:22:59

Distinguished ambassador.

Unidentified | 00:22:59

I know.

Unidentified | 00:23:00

I see him right here.

Unidentified | 00:23:00

He's highly knowledgeable on this.

Unidentified | 00:23:02

No, we're good friends.

Unidentified | 00:23:03

He's a great friend of the United States and a great representative of Japan.

Unidentified | 00:23:07

But every country comes, they say, well, what about sovereignty?

Unidentified | 00:23:09

That's fine.

Unidentified | 00:23:10

Any deal you make with another country, you're kind of deciding you're going to do something with your sovereignty toward each other.

Unidentified | 00:23:17

So I don't really like that excuse, but some like to use it.

Unidentified | 00:23:20

This makes a lot of sense.

Unidentified | 00:23:21

I think this concept is really innovative and actually makes a lot of sense.

Unidentified | 00:23:25

Let me ask you the slightly harder question.

Protecting Our Manufacturing Base (00:02:25)

Unidentified | 00:23:27

I think a lot of our friends and allies who maybe would have been very helpful vis-a-vis some of these issues, whether with respect to China, economic security, or others, felt mistreated by the Liberation Day tariffs last year.

Unidentified | 00:23:41

And I can call out some specific countries, but you know who they are.

Unidentified | 00:23:45

They felt like they weren't treated as friends by the United States.

Unidentified | 00:23:48

How do you give those countries reassurance now that we're actually in the same club?

Unidentified | 00:23:53

They'll be treated the same or better if they're our friends.

Unidentified | 00:23:56

How do you square that?

Unidentified | 00:23:58

Listen, for some of these friends, they weren't crying when we were losing our manufacturing jobs, right?

Unidentified | 00:24:02

Where were they when our facilities were going overseas?

Unidentified | 00:24:05

So, you know, for friends who are sad now, were they sad when we were losing our manufacturing base?

Unidentified | 00:24:11

They weren't.

Unidentified | 00:24:11

So I kind of like to separate the emotion from it.

Unidentified | 00:24:14

For me, this is business, it's national security, it's economic security.

Unidentified | 00:24:18

And I get people all the time saying, hey, you should go easy on ex-Western country because they'll align with you on China.

Unidentified | 00:24:24

And I say, no, they won't.

Unidentified | 00:24:26

Like, I'm already doing things on China.

Unidentified | 00:24:28

Like, it's in their interest to do things on China.

Unidentified | 00:24:30

They should do it anyway.

Unidentified | 00:24:30

I shouldn't have to, you know, if you have a country that has a challenge with Chinese imports or something, I shouldn't have to go pay them or give concessions for them to do something that's in their own interest, right?

Unidentified | 00:24:40

And I'm also not going to slow down or let other countries have a veto on what we have to do to protect the American economy and the American worker so I can have some kind of coordination that, to be honest, I'm a little skeptical of it, right?

Unidentified | 00:24:54

I mean, we've had in the first Trump term, I have my old mentor back there, Bob Lighthizer, right?

Unidentified | 00:24:59

He's like beaming thoughts into my head right now.

Unidentified | 00:25:01

But in the first term, he and I sat in a meeting.

Unidentified | 00:25:03

You're going to do the quick take right after this session.

Unidentified | 00:25:05

Yeah, so I have to say nice things about him.

Unidentified | 00:25:08

But we had a Europe, you know, representatives of a European country come to us and we said, hey, China's stealing our IP, they're taking away our manufacturing.

Unidentified | 00:25:17

We're going to take action.

Unidentified | 00:25:18

What are you going to do?

Unidentified | 00:25:19

And they said, well, we're just going to out-innovate the Chinese.

Unidentified | 00:25:23

And it was like, well, have you met the Chinese?

Unidentified | 00:25:25

That's not going to work.

Unidentified | 00:25:26

Anyway, fast forward, here we are now.

Unidentified | 00:25:28

And even now, you have the automotive industry in Europe under pressure, and still nothing substantial enough has been done.

Unidentified | 00:25:36

And I know there's a lot of people in Europe who are pushing for that and who are looking at it with clear eyes, but you have enough in Europe who are not, and it makes it very challenging to change.

Unidentified | 00:25:45

And a lot of different small countries that all have different views on it.

Unidentified | 00:25:49

Very difficult.

Unidentified | 00:25:50

Yeah.

Unidentified | 00:25:50

Great.

Unidentified | 00:25:51

Let me move to industrial policy.

Balancing Trade with Allies (00:15:28)

Unidentified | 00:25:53

It's a term that used to be outlawed, but now we all use it all the time.

Unidentified | 00:25:57

And I'm sometimes struck by the difference when you hear national security experts like all of us in this room use the term.

Unidentified | 00:26:05

We generally mean something along the lines of, let's make sure we're not dependent on our adversaries on the key things that will keep us safe, defend us.

Unidentified | 00:26:15

So that would be 5G, AI, chips, critical minerals, things of that sort.

Unidentified | 00:26:22

A pretty bounded sector.

Unidentified | 00:26:24

When you hear many American politicians talking about industrial policy, it has the echo of, let's bring back the great manufacturing jobs of the 60s and 70s.

Unidentified | 00:26:34

Now, you are having to straddle that complicated thing.

Unidentified | 00:26:38

And as you are doing this, how do you decide which sectors are truly strategic?

Unidentified | 00:26:44

And where is it worth paying higher costs to buy ourselves some resilience?

Unidentified | 00:26:49

Certainly.

Unidentified | 00:26:50

Well, first of all, one thing we do in this administration, and it's actually not that hard an analysis, right?

Unidentified | 00:26:56

We have think tanks who do this, we have all kinds of people who do this.

Unidentified | 00:27:00

Our own internal analyses, they look at what are critical, and we identify the same things all of you think about.

Unidentified | 00:27:06

Semiconductors, pharmaceuticals, AI, automotive, aerospace, biopharma, all of these different things.

Unidentified | 00:27:15

People might argue about some of these.

Unidentified | 00:27:17

Personally, for me, I take a broad view of what's critical.

Unidentified | 00:27:20

And part of this is because manufacturing moves in ecosystems.

Unidentified | 00:27:24

So, I mean, take the CHIPS Act, for example, right?

Unidentified | 00:27:26

People can argue about good or bad.

Unidentified | 00:27:28

Let's just say we think we should have some kind of industrial policy.

Unidentified | 00:27:31

Maybe the chips act is something we should do.

Unidentified | 00:27:33

Let's say we make it so we do everything here, right?

Unidentified | 00:27:36

We do the ingots and the wafers and the etching and everything and the packaging.

Unidentified | 00:27:39

We get it all here.

Unidentified | 00:27:40

Then what happens?

Unidentified | 00:27:41

Then we send the chip to China to integrate into electronics and bring it back here.

Unidentified | 00:27:45

That's kind of a crazy outcome.

Unidentified | 00:27:46

So even though you may have technology overseas that may not seem critical, maybe it's consumer technology, at the end of the day, the entire supply chain is really important.

Unidentified | 00:27:56

I mean, similarly, people will talk about critical minerals.

Unidentified | 00:27:58

They'll say, well, you know, gallium, we have to have gallium that we make here.

Unidentified | 00:28:02

Everyone will agree with that.

Unidentified | 00:28:03

And then we'll say something like, we should try to have aluminum production in the U.S.

Unidentified | 00:28:06

And they say, oh, don't worry about that.

Unidentified | 00:28:07

We can get it from all kinds of places.

Unidentified | 00:28:09

But gallium is a byproduct of the aluminum production process.

Unidentified | 00:28:13

So it's not actually easy to tear apart these supply chains into these narrow sectors like a lot of people want to do because manufacturing moves in ecosystems and a lot of these byproducts are products of things that may not seem strategic on the surface.

Unidentified | 00:28:26

That all makes a ton of sense, but I would argue that the sectors you just mentioned, whether broadly defined or narrowly defined, are still within the national security realm.

Unidentified | 00:28:36

But then you have Section 232 actions on kitchen cabinets.

Unidentified | 00:28:42

There was some article about roller skates.

Unidentified | 00:28:44

Like people just lobby for things to be strategic that maybe aren't.

Unidentified | 00:28:48

Where do you come out on that?

Unidentified | 00:28:49

So for example, talk about steel and aluminum.

Unidentified | 00:28:53

When the steel and aluminum 232 was reinvigorated at the beginning of the Trump administration, I say reinvigorated because it was done in the first term.

Unidentified | 00:29:01

The Biden administration kept it.

Unidentified | 00:29:02

It was reinvigorated now.

Unidentified | 00:29:04

There was a move to expand what we call derivative products.

Unidentified | 00:29:08

And it expanded to a lot of different things that contain aluminum or steel.

Unidentified | 00:29:14

And the idea was, well, we want to make sure that people aren't getting around the tariffs by moving downstream.

Unidentified | 00:29:19

We now have taken a second look at that list.

Unidentified | 00:29:21

And if you look a few months ago, we adjusted that because some of these things we looked at, we said, well, this probably is not appropriate for a 232.

Unidentified | 00:29:28

We should have it in a, you know, we may want tariffs on it, but for a different reason, in a different regime.

Unidentified | 00:29:32

Some kitchen cabinets and roller skates are off the list.

Unidentified | 00:29:35

Well, you can, well, I don't know about roller skates.

Unidentified | 00:29:37

I don't know if that was ever on there.

Unidentified | 00:29:39

If it was, it's probably off.

Unidentified | 00:29:41

The kitchen cabinets, you can ask the Secretary of Commerce about how they're doing the lumber one.

Unidentified | 00:29:45

I haven't had a lot to do with that.

Unidentified | 00:29:46

Oh, yeah, he has to do software lumber.

Unidentified | 00:29:48

Yeah.

Unidentified | 00:29:48

Thank you.

Unidentified | 00:29:49

Okay.

Unidentified | 00:29:50

I want to bring it back to our own neighborhood.

Unidentified | 00:29:53

It's what's top of everyone's mind.

Unidentified | 00:29:55

The USMCA is being renegotiated.

Unidentified | 00:29:57

You on July 1st announced that the U.S. will not renew the agreement in its current trilateral form.

Unidentified | 00:30:05

So you're going to pursue ongoing bilateral negotiations with the Mexicans and with the Canadians.

Unidentified | 00:30:12

Let's start with Mexico.

Unidentified | 00:30:14

What would be a good outcome with Mexico?

Unidentified | 00:30:16

What do you want changed?

Unidentified | 00:30:17

What hasn't worked since this was completed by Ambassador Lighthizer six years ago?

Unidentified | 00:30:24

So part of the beauty of what we did in USMCA is we built in a review procedure.

Unidentified | 00:30:30

And this is something that was missing from all of our trade agreements, frankly.

Unidentified | 00:30:34

Whenever Congress does any kind of program, there's always some sunset on it or opportunity review or have to renew it.

Unidentified | 00:30:39

But for whatever reason, we never did that with trade agreements.

Unidentified | 00:30:41

And so when NAFTA was, it became politically unsustainable to the point where in 2016, everyone was running against NAFTA.

Unidentified | 00:30:49

Part of the reason why is because it had never been updated.

Unidentified | 00:30:52

There was never a forcing mechanism to force Washington to account for any challenges.

Unidentified | 00:30:57

So we've done that with USMCA.

Unidentified | 00:30:59

And so now we're looking at it.

Unidentified | 00:31:00

And what's our assessment?

Unidentified | 00:31:02

Well, our trade deficit with Mexico continued to skyrocket after this happened.

Unidentified | 00:31:07

Why do you think that happened?

Unidentified | 00:31:08

Well, first of all, we put tariffs on China.

Unidentified | 00:31:11

And so trade, if you don't control it in the right way, it's like a balloon, right?

Unidentified | 00:31:15

You squeeze the balloon and it pops out somewhere else.

Unidentified | 00:31:17

So a lot of companies thought, well, I am going to diversify out of China.

Unidentified | 00:31:21

I can see the direction of travel.

Unidentified | 00:31:23

So I'm going to go to Mexico and I'm going to take advantage of this and that's what they decided to do.

Unidentified | 00:31:29

Part of our challenge though, too, which was out of our hands, is if you don't comply with the rules of USMCA or NAFTA before it, there wasn't a huge penalty because our standard rates for the world tariff rates were quite low.

Unidentified | 00:31:44

And we've changed that now.

Unidentified | 00:31:45

We've put 232s in place to raise the tariffs.

Unidentified | 00:31:49

So now if you comply with USMCA rules, you can get a preferential deal still, but it has to have a lot of content from North America.

Unidentified | 00:31:55

Okay, so one thing is don't get flooded with Chinese goods through the back door through Mexico or through other countries.

Unidentified | 00:32:01

There's also a lot of talk about rules of origin, auto industry.

Unidentified | 00:32:04

Just say a little bit more about that.

Unidentified | 00:32:06

Right.

Unidentified | 00:32:06

So again, one of the things we did in USMCA is we made the rules of origin for autos tighter.

Unidentified | 00:32:10

In other words, if you want to get special preferential duty treatment coming into the U.S., you have to have more U.S. content.

Unidentified | 00:32:16

You have to have more Mexican content, et cetera, less content from Asia.

Unidentified | 00:32:19

Fine.

Unidentified | 00:32:20

We probably need to tighten those some more.

Unidentified | 00:32:22

But we also need to do it for other industrial goods.

Unidentified | 00:32:26

I've talked about electronics.

Unidentified | 00:32:27

I've talked about pharmaceuticals.

Unidentified | 00:32:29

The rules of origin for USMCA can be tightened on all of these things.

Unidentified | 00:32:33

And we're working quite actively with the Mexicans actually to identify these sectors that we think we can resort to North America, where we can have more production in America, where we can have complementary production in Mexico that leads to more balanced trade.

Unidentified | 00:32:46

But that does require to have stronger rules of origin for these types of products.

Unidentified | 00:32:50

Got it.

Unidentified | 00:32:50

You sound pretty optimistic.

Unidentified | 00:32:52

Negotiations going well with the Mexicans.

Unidentified | 00:32:54

Any news you want to make?

Unidentified | 00:32:55

Oh, no, I don't like to make news.

Unidentified | 00:33:01

I think apparently your entire team is doing a negotiating round right now.

Unidentified | 00:33:06

Right now, the Vietnamese, we're going down to Mexico soon, next week, the week after, next week.

Unidentified | 00:33:13

So it's going well with the Mexicans.

Unidentified | 00:33:14

They're quite pragmatic.

Unidentified | 00:33:16

Again, we kind of have this major issue, and I know the national security people don't think about this as much as I do, but our trade deficit in Mexico really is a challenge.

Unidentified | 00:33:24

It really is a problem.

Unidentified | 00:33:25

The trade deficit, it is a manifestation of some of this, whether it's overcapacity or subsidies or unfair trading practices or monetary policy.

Unidentified | 00:33:33

It is an expression of things that have gone wrong in the global trading system.

Unidentified | 00:33:37

It's one thing to have a trade that switches from surplus to deficit in a kind of cyclical way, but to have a structural trade deficit like we've had for so long makes no economic sense.

Unidentified | 00:33:48

And so even with Mexico, although we'd rather import from Mexico than some places in Asia, we still need to make sure that's under control.

Unidentified | 00:33:56

So I have a mandate from the President to find a way in whatever deal we make with Mexico to have whatever, whether it's tariffs or quotas or whatever it is, to try to control that.

Unidentified | 00:34:06

We want to do it in a way that doesn't disrupt supply chains unnecessarily, but we do want to incentivize supply chains moving here.

Unidentified | 00:34:13

Makes sense.

Unidentified | 00:34:13

I'm going to put the trade deficit off to one side, whether that's because there's a lot of economists in the room who I'm sure will corner you afterwards.

Unidentified | 00:34:20

And can you actually rebalance the trade or is it our low savings rates, what's causing that?

Unidentified | 00:34:26

So I'm going to put that to one side.

Unidentified | 00:34:28

But we still haven't talked about Canada.

Unidentified | 00:34:31

So Canada, one of the two countries that put retaliatory tariffs on.

Unidentified | 00:34:35

Mark Carney won an election over opposition to U.S. Canada trade and other issues.

Unidentified | 00:34:43

How's it going with Canadians?

Unidentified | 00:34:45

Well, I'm in contact with my counterparts on a weekly basis.

Unidentified | 00:34:50

Over the past year, like with other countries, I've given lots of proposals to the Canadians on things that could be done immediately to put us in a better position.

Unidentified | 00:34:57

The Canadians are always willing to talk, right?

Unidentified | 00:35:00

Like many countries say, we're happy to talk.

Unidentified | 00:35:02

That's fine.

Unidentified | 00:35:03

You're always happy to talk.

Unidentified | 00:35:04

That's not a concession.

Unidentified | 00:35:05

That's just what we do as diplomats or economic negotiators.

Unidentified | 00:35:10

So to me, that's not really, it's not a concession.

Unidentified | 00:35:12

That's not movement.

Unidentified | 00:35:13

That's just describing what we do now, which is talk.

Unidentified | 00:35:16

So we just haven't seen a lot of movement.

Unidentified | 00:35:18

There are a couple things that Canadians have done.

Unidentified | 00:35:21

They had a digital services tax they proposed and rolled back.

Unidentified | 00:35:24

They had an online streaming act where they wanted to force American companies to fund Canadian companies that they rolled back.

Unidentified | 00:35:30

I'm glad they did that, but they don't really get credit for doing something bad and then undoing it, right?

Unidentified | 00:35:34

That's just good practice on their part.

Unidentified | 00:35:38

So you don't want to give an underover of how long it's going to take with the Canadians?

Unidentified | 00:35:43

I don't know.

Unidentified | 00:35:44

I don't want to get ahead of them.

Unidentified | 00:35:45

I mean, the reality is, if the President and Prime Minister Carney have an understanding, I'm sure we can put together something that makes sense to get us over the hump.

Unidentified | 00:35:54

We're always going to trade some with Canada, right?

Unidentified | 00:35:56

I mean, just because they're there, right?

Unidentified | 00:36:00

The reality is the President's quite focused, again, getting the trade deficit down with Canada, which it is down by 25%.

Unidentified | 00:36:05

And he wants to, listen, it's less about being anti-any country and just more pro-America and making sure we have as many of these supply chains here in the United States.

Unidentified | 00:36:14

Thank you.

Unidentified | 00:36:14

I want to leave a little bit of time for audience questions, so I'll just ask you one last one that kind of brings it home.

Unidentified | 00:36:19

We have a lot of CEOs and business leaders here with us.

Unidentified | 00:36:22

I work all the time with the private sector.

Unidentified | 00:36:26

And if I'm really honest, they may not say it to you as clearly, but American CEOs are worried because what they like, they understand that there should be additional investment in the United States.

Unidentified | 00:36:37

They laud the efforts by the administration to make that easier and more possible.

Unidentified | 00:36:43

But billions of dollars of investments only happen when you have certainty.

Unidentified | 00:36:47

And 2025 was a rough year.

Unidentified | 00:36:50

Like a lot of the American companies I work with had war rooms.

Unidentified | 00:36:53

What's the tariff today?

Unidentified | 00:36:54

What's the tariff tomorrow?

Unidentified | 00:36:55

I've just moved my factory to China.

Unidentified | 00:36:56

Now I can't do it in China.

Unidentified | 00:36:58

What do you say to the American and frankly the international business community?

Unidentified | 00:37:03

What are we going to see in the future?

Unidentified | 00:37:04

Let's hope that.

Unidentified | 00:37:05

Is it going to be more predictable?

Unidentified | 00:37:06

Well, let's talk about this word, certainty, right?

Unidentified | 00:37:09

So first of all, there's one thing that's almost always certain, and that is how robust the American consumer is.

Unidentified | 00:37:16

We have had a lot of different shocks, economic shocks over the years, whether it's the pandemic or other things.

Unidentified | 00:37:21

And through it all, the American consumer has been incredibly resilient and strong.

Unidentified | 00:37:25

And so any company that wants, you know, everyone wants access to the American market.

Unidentified | 00:37:29

Everyone knows that, because the American consumer is so strong, and we expect it will remain so.

Unidentified | 00:37:34

Now, there are other versions of certainty.

Unidentified | 00:37:36

When I hear from CEOs, and there's really...

Unidentified | 00:37:39

It's more predictability over time.

Unidentified | 00:37:40

I understand.

Unidentified | 00:37:41

Because if you're putting a billion dollars in a factory.

Unidentified | 00:37:44

If the certainty, there are two types of certainties they talk about.

Unidentified | 00:37:47

One is, I want to go back to status quo ante.

Unidentified | 00:37:49

When are we going to get back to that?

Unidentified | 00:37:50

And the answer is, we're not going back to that.

Unidentified | 00:37:52

We're not doing that.

Unidentified | 00:37:53

So if your plan is, I'm going to wait this out so I can actually build my plant in China or Vietnam and flood American markets with stuff made by foreign workers in foreign factories, like you're not going to get that certainty.

Unidentified | 00:38:06

Now, I'm much more sympathetic to this idea of, okay, we understand the policy, we surrender, what's the tariff rate going to be?

Unidentified | 00:38:14

This I'm totally sensitive to.

Unidentified | 00:38:17

If you look at where we were before the Supreme Court case came down striking down the IEPA tariffs, we were pretty much kind of there, right?

Unidentified | 00:38:24

We were in a position where if you were in the Western Hemisphere, you generally had the best deal on the planet because we want the supply chains here in this hemisphere.

Unidentified | 00:38:32

And the closer you get to China and East Asia, where we have a lot of geopolitical uncertainty, the higher your tariff for.

Unidentified | 00:38:40

So you can almost see Western Hem, they were generally at 10% or lower.

Unidentified | 00:38:45

Brazil's kind of TBD, TBD today.

Unidentified | 00:38:49

And then you had our allies who we like, but with whom we have trade challenges, Japan, Korea, Europe, et cetera, they're about 15%.

Unidentified | 00:38:56

And then you had Asia, Southeast Asia, South Asia, anywhere between 15 to 20%.

Unidentified | 00:39:00

And then China is the highest, right?

Unidentified | 00:39:02

By some calculations, it's 45% all in.

Unidentified | 00:39:05

So the reality is you can see almost these concentric circles coming out.

Unidentified | 00:39:08

And that's where we were in February before the case came down.

Unidentified | 00:39:12

And my guess is if we had our greatest wish, we would have that kind of setup going forward.

Unidentified | 00:39:18

So the current stabilities, you have Section 122, I think it is.

Unidentified | 00:39:22

As I told you before, I was a trade lawyer for exactly one week, so still learning these phrases.

Unidentified | 00:39:27

It didn't stick.

Unidentified | 00:39:28

No, it didn't stick.

Unidentified | 00:39:29

It was very complicated.

Unidentified | 00:39:31

But so those run out at the end of July.

Unidentified | 00:39:33

July 24th.

Unidentified | 00:39:34

Then what?

Unidentified | 00:39:36

Well, I mean, I'm conducting these Section 301 investigations, right?

Unidentified | 00:39:39

And the idea is we are the president's policy the entire time has been to address the issues that are driving unfair trade and our trade deficit.

Unidentified | 00:39:49

That's the whole thing, right?

Unidentified | 00:39:50

So when it was IEPA, we had a declaration related to the trade deficit and the conditions that gave rise to it.

Unidentified | 00:39:55

Under 122, it's a balance of payments authority, which includes, of course, one element of that is the current account, element of that is the trade deficit.

Unidentified | 00:40:02

Right now, we're going through now, country by country, and identifying unfair trading practices, whether it's a toleration of forced labor in their trade or structural excess capacity, everything that goes with that.

Unidentified | 00:40:13

Just one by one, we're going through, we're identifying all these unfair trading practices to get at the underlying unfairness and imbalance and lack of reciprocity in the trading system.

Unidentified | 00:40:22

So we're going to conclude these investigations.

Unidentified | 00:40:24

We may start some more.

Unidentified | 00:40:26

But we want to get to a position where we are protecting American workers or we're resolving these issues, right?

Unidentified | 00:40:31

If we get to a position where we have balanced trade and all of our metrics are where we want them to be, then we can probably have a different trade policy.

Unidentified | 00:40:38

Thank you.

Unidentified | 00:40:39

I want to open it to a couple of questions from the audience.

Unidentified | 00:40:42

I see Steve Clemens first.

Unidentified | 00:40:47

Hi, Steve Clemens of the National Interest James, and thank you so much.

Unidentified | 00:40:52

I think Bob Lighthey should be very proud of you.

Unidentified | 00:40:54

I think Fred Hochberg here probably has some issues.

Unidentified | 00:40:57

But you described a very holistic picture of why we need tariffs, why you need to sort of re-sculpt the muscle and skeletal structure of America's manufacturing base.

Unidentified | 00:41:09

But what we see on the outside are a lot of people in the executive branch who talk about tariffs, who impose tariffs for reasons that have nothing at all to do with the manufacturing base.

A Consistent China Policy (00:04:39)

Unidentified | 00:41:21

They're on for a week or they're not.

Unidentified | 00:41:22

This is a strategic room.

Unidentified | 00:41:24

Countries that we're dealing with Iran, 50% tariffs.

Unidentified | 00:41:28

Or you take things off because someone's doing a favor.

Unidentified | 00:41:31

Isn't it a problem for you when non-economic types are throwing either rewarding or punishing other nations for things that have nothing to do with the underlying economic realities but are completely political?

Unidentified | 00:41:45

Isn't that the story of what happened in the 70s and the 80s and the 60s in the United States?

Unidentified | 00:41:50

Is big national security concessions that undermine the American economic base?

Unidentified | 00:41:54

Yeah, I mean, I think underlying your question, Steve, which I will answer, is this idea that we want the economic policy to focus on the economics.

Unidentified | 00:42:04

And I fundamentally agree with you.

Unidentified | 00:42:06

At the same time, it is getting more and more difficult to divorce the economics of it from where do countries actually sit vis-a-vis the United States?

Unidentified | 00:42:18

Are they interested in our welfare or are they not?

Unidentified | 00:42:22

I will also say that Bretton Woods and everything like that, it didn't come out wholly born from the womb, right?

Unidentified | 00:42:28

This is something that developed over decades and decades.

Unidentified | 00:42:30

And so you are seeing a lot of kind of a generous way to say this policy entrepreneurship in our administration as we exercise these tools, some of which haven't been used in a long time, and we see what works and what doesn't, find out what's legal and what isn't, things we think are legal.

Unidentified | 00:42:46

It turns out the court has a different view.

Unidentified | 00:42:49

So you are going to see this.

Unidentified | 00:42:50

I think in a year and a half you have seen progress and I think you have seen more cohesion.

Unidentified | 00:42:55

We're now in a world where we have the Section 232s very tested legally, Section 301, very tested legally.

Unidentified | 00:43:02

We know what the legal bases are.

Unidentified | 00:43:03

We know what the reasons are.

Unidentified | 00:43:04

And we're pursuing those very diligently.

Unidentified | 00:43:07

We're adjusting them where we need to to try to fine-tune it, right?

Unidentified | 00:43:11

I mean, again, Bretton Woods didn't come out fully formed.

Unidentified | 00:43:13

It took decades.

Unidentified | 00:43:14

And I expect that our trade policy, we're getting into place now.

Unidentified | 00:43:17

We've come a long way in just a year and a half.

Unidentified | 00:43:19

Thank you.

Unidentified | 00:43:20

Maybe take one.

Unidentified | 00:43:21

Yeah.

Unidentified | 00:43:21

Oh, Nick Scottwine.

Unidentified | 00:43:22

I have a question.

Unidentified | 00:43:23

Moderators.

Unidentified | 00:43:24

Moderators' prerogative.

Unidentified | 00:43:25

I wanted to thank Ambassador Greer again for being here.

Unidentified | 00:43:28

It's really important we have Trump administration officials.

Unidentified | 00:43:31

They're very welcome.

Unidentified | 00:43:32

I told Ambassador Greer before he went on the stage that we in the Biden administration implemented all the Trump tariffs that Ambassador Lighthizer negotiated back in the first Trump term.

Unidentified | 00:43:44

I think the Trump administration has kept all the Biden tariffs from May 2024 on lithium batteries, solar panels, and EVs.

Unidentified | 00:43:53

So do you feel you still have that bipartisan support, which will strengthen your position with the Chinese?

Unidentified | 00:43:59

And do you think it's possible to get the Chinese to agree to a supply chain truce so they don't take rare earths and other products off the market?

Unidentified | 00:44:06

That's a perfect.

Unidentified | 00:44:07

Yeah, so on the first one, you're exactly right.

Unidentified | 00:44:11

And I make this point frequently when I'm speaking: on China policy and the economic approach, there is a through line between Trump won, the Biden administration, and what we're doing now.

Unidentified | 00:44:22

And I give a lot of credit, right?

Unidentified | 00:44:24

And I often say, listen, the Biden people got in and they rolled back almost everything we did except for the trade things.

Unidentified | 00:44:30

And then when we came in, we rolled back almost everything the Biden people did, except for the trade things.

Unidentified | 00:44:36

And some of the export controls.

Unidentified | 00:44:37

Yeah, well, again, exactly, right?

Unidentified | 00:44:41

And on Trump won, we pioneered the foreign direct product rule.

Unidentified | 00:44:44

Biden people built on that.

Unidentified | 00:44:45

We've kept that.

Unidentified | 00:44:46

So that's exactly right.

Unidentified | 00:44:47

And I try to make this point because I think there is still bipartisan consensus.

Unidentified | 00:44:50

Now, you do get people who, you know, not to get too political, are just so seized with the president and their view of him that things that they agreed with before and trade and tariffs, you know, 10 minutes ago, now they don't.

Unidentified | 00:45:01

But you also have governors of certain states of Michigan saying, you can use tariffs.

Unidentified | 00:45:06

I may not agree with everything, but you can use tariffs.

Unidentified | 00:45:08

You have the president of the UAW coming out with an op-ed a few days before inauguration saying, we'll work with anybody who's going to use tariffs.

Unidentified | 00:45:14

So there is bipartisanship.

Unidentified | 00:45:16

China, can we get a supply chain truce?

Unidentified | 00:45:18

I mean, on rare earths, we kind of have it, right?

Unidentified | 00:45:22

I would give the Chinese not an A-plus on their performance here, but we are getting rare earths, right?

Unidentified | 00:45:27

And we're trying constantly to monitor this and enforce it.

Unidentified | 00:45:30

And I think we do have some folks on the Chinese side who are eager to be helpful, and others they have challenges in their bureaucracy, and some just have a different view.

Unidentified | 00:45:39

But we're working on that.

Unidentified | 00:45:41

On a more broader basis, these supply chain rules they have put out.

Unidentified | 00:45:45

I have a real concern with these.

Unidentified | 00:45:47

We all do.

Unidentified | 00:45:48

We're very concerned.

Unidentified | 00:45:49

We're considering right now what can be done.

Unidentified | 00:45:51

And we talk about it with our counterparts.

Unidentified | 00:45:54

So it's not like we see this and just say, oh, and hand-wave it.

Unidentified | 00:45:59

We are planning.

Securing Rare Earth Supply Chains (00:00:58)

Unidentified | 00:46:00

Thank you.

Unidentified | 00:46:01

That was a tour de force around the world.

Unidentified | 00:46:04

Thank you for everything you're doing.

Unidentified | 00:46:05

And we're going to leave it on that note of bipartisanship.

Unidentified | 00:46:08

Thank you for being with us.

Unidentified | 00:46:11

More now from the Aspen Security Forum with former Navy Secretary John Phelan.

Unidentified | 00:46:16

He talks about being removed from his position in April 2026, suggesting that he may have pushed too hard and taken too many risks within what he characterized as the Pentagon's risk-averse environment.

Unidentified | 00:46:30

This is 20 minutes.

Unidentified | 00:46:36

Thanks so much, Anya.

Unidentified | 00:46:39

Yeah, so we have, and sorry, I have a chest cold.

Unidentified | 00:46:43

It sounds like I'm crying about Navy issues.

Unidentified | 00:46:45

It's not me, it's just my chest.

Unidentified | 00:46:47

But just indulge me there.

Unidentified | 00:46:49

So we have, what I think is a lot to get through in now 18 minutes and 33 seconds.

Unidentified | 00:46:55

And so I want to talk about ships, and I want to talk about your experience there.

Unidentified | 00:46:59

First, reminders.